Evolution AB (Nasdaq Stockholm: EVO.ST)

Q3 2026 Earnings — Analyst Brief · Released 23 Oct 2026 · Currency EUR (tables in millions; ~USD at EUR/USD 1.12 as of 23 Oct 2026)

Shares opened ~1.6% lower at SEK 798.8 on the modest revenue/EPS miss, were +1.3% at SEK 822.20 by midday, and closed +3.6% at SEK 841.40 (prev. close SEK 812.00; ~623k shares traded) as the unchanged ~66% margin target and the cleared UKGC/Galaxy overhangs outweighed Brazil. Options had implied a ±5.6% move. (SEK/USD on the day not verified; USD equivalent n/a.)

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THE ONE-LINE VERDICT

Evolution's Q3-26 delivered its first year-on-year revenue growth in five quarters (+3.7% to EUR 526.1m, ~$589m; est. +4.0% at constant currency) and held the adjusted EBITDA margin at 65.8%, but the quality is mixed: the ~30% of revenue in the Americas and Africa grew ~18% while the ~70% in Europe (-4.7%, share loss conceded) and Asia (+1.6%, cyber-crime unresolved) shrank ~1.5%. EUR 12.1m (~$13.6m) of one-offs pushed profit for the period down 3.6%, EPS growth is entirely buyback-driven, and Brazil's 5 October ban removes a growth engine from Q4. Stabilisation, not re-acceleration — with the FY26 ~66% margin target unchanged.

NET REVENUE (Q3-26)	ADJ. EBITDA	ADJ. EBITDA MARGIN	PROFIT FOR THE PERIOD	EPS (BASIC)	NET CASH
EUR 526.1m (~$589m)	**EUR 345.9m (~$387m)**	**65.8%**	**EUR 243.3m (~$273m)**	**EUR 1.31 (~$1.47)**	**EUR 656.4m (~$735m)**
+3.7% YoY / +1.6% QoQ (cc ~+4.0%)	+2.7% YoY / +1.4% QoQ	-60bps YoY / -10bps QoQ (reported 63.5%)	-3.6% YoY / -3.2% QoQ	+4.6% YoY; avg shares -7.8% (buyback-driven)	Zero debt; EUR 1,127m bought back since 19 May

1 EXECUTIVE SUMMARY

- **Growth is back, barely:** Q3 net revenue EUR 526.1m (~$589m), +3.7% YoY and +1.6% QoQ, est. +4.0% at constant currency — the first YoY increase after four consecutive declines (-2.4%, -3.7%, -1.5%, -1.2%). Marginal miss vs consensus (~EUR 529m, ~$592m; Investing.com), the fifth straight quarter at or below the Street on revenue.
- **Margin held — on an adjusted basis:** Adj. EBITDA EUR 345.9m (~$387m), +2.7% YoY, margin 65.8% (-60bps YoY, -10bps QoQ), ~1% above FactSet EBITDA consensus of ~EUR 343m. Reported EBITDA EUR 333.8m (~$374m), -0.9%, margin 63.5% (-290bps) after EUR 12.1m (~$13.6m) of one-offs excluded from the adjusted line.
- **The one-offs clear two overhangs:** EUR 5.6m (~$6.3m; GBP 4.75m) settlement with the UK Gambling Commission closing the licence review of Evolution Malta Holding opened in Dec 2024 (announced 15 Jul, fully paid), and EUR 6.5m (~$7.3m) of termination and legal costs after walking away from the $85m Galaxy Gaming acquisition in July (incl. a $5.2m break fee). Sell-side explicitly congratulated management on removing both.
- **Bottom line down, per-share up:** Operating profit EUR 290.3m (~$325m), -2.1% (margin 55.2%, -330bps); profit for the period EUR 243.3m (~$273m), -3.6%. Basic EPS EUR 1.31 (~$1.47) +4.6% (diluted EUR 1.29, ~$1.44, +2.4% vs consensus ~1.33) purely because average shares fell 7.8% to 186.0m from 201.8m.
- **Guidance unchanged — and it is only a margin target:** FY26 EBITDA margin 'in line with 2025' (~66%; FY25 adjusted was 66.1%), reiterated on the call despite the Brazil studio closure; 9M-26 stands at 65.7%, so Q4 needs ~66.5-67% to land on 66.0%. No revenue guidance; the qualitative ambition is to grow at least in line with the market in every region for both Live and RNG, with 110+ game releases in 2026.
- **RNG, not Live, drove the beat on growth:** RNG +10.1% to EUR 83.1m (~$93m), second consecutive double-digit quarter (Q2 +14.0%), contributing EUR 7.6m of the EUR 19.0m YoY revenue increase (40%) from <16% of the base. Live +2.6% to EUR 443.0m (~$496m) after -3.6% in Q2; 9M Live still -1.4% at EUR 1,315.2m (~$1,473m).
- **Geographic divergence by player IP:** North America +13.6% to a record EUR 84.3m (~$94m); Latin America +23.1% to a record EUR 49.0m (~$55m); Africa & other +23.7% to ~EUR 27.0m (~$30m), also a record. Europe -4.7% to EUR 173.7m (~$195m); Asia +1.6% to EUR 192.1m (~$215m). All five regions grew QoQ for the first time since 2024 (Europe +0.4%, Asia +0.8%, NA +4.1%, LatAm +3.2%, Africa ~+4.7%).
- **Europe share loss acknowledged:** CEO Carlesund: 'it's not exciting and we should do better', citing regulatory change and tax but accepting the group is not capturing its share of market growth; by operator location Europe fell 6.0% to EUR 336.3m (~$377m) and is still 64% of booked revenue. Remedy offered: 'a few stable quarters' of customer work — no pricing or product lever named.
- **Asia / grey-market exposure is undiminished:** Asia is 37% of revenue by player IP vs 4% by operator location — the ~EUR 173m (~$194m) gap is Asian play booked through European-licensed operators. Asked if cyber-crime (video piracy, unauthorised redistribution) is solved: 'No'; 'no quick solution'. Regulated markets 49% of revenue (EUR 258.5m, ~$290m).
- **Brazil: the post-period shock.** Provisional Measure 1.394/2026 suspended licensed online betting and casino; the São Paulo studio (opened 2025) closed on 5 Oct. Lula won the 25 Oct run-off (51.76%) having campaigned on the ban; resolution rests with the STF (constitutionality) and Congress. Brazil is 'well below half' of LatAm IP revenue → gross exposure <EUR 24.5m (~$27m)/quarter, <4.7% of group; market is not ring-fenced so some play may leak to offshore-licensed operators. CEO: 'flabbergasted', a 'total negative', studio can reopen 'on short notice'; Q4 'more eventful'. Staff retained for now, so cost persists without revenue.
- **Activity vs revenue divergence:** game rounds index 435, +22.5% YoY / +11.3% QoQ against +3.7% revenue growth. Management calls the index 'directional' and blames bet levels, market mix and regional traction; we read it as mix toward lower-value rounds, with Asia the likeliest source.
- **Cost base growing faster than revenue:** headcount 23,408 (+8.1% YoY, +2.3% QoQ); personnel costs EUR 124.3m (~$139m), +5.7%; reported opex EUR 235.9m (~$264m), +12% YoY. Management says opex grew +2.8% ex one-offs [basis unverified — our arithmetic on revenue less EBIT gives ~+6% ex one-offs incl. D&A]; other opex ex one-offs +0.7%. 27 studios (3 opened in 2026 incl. a second Lithuanian studio in Q3; New Jersey next); Argentina studio acquired in Q1 for EUR 6.0m (~$6.7m).

- **Cash generation intact:** operating cash flow after investments EUR 334.1m (~$374m), incl. a EUR 32.5m (~$36m) working-capital inflow; capex EUR 32.0m (~$36m), LTM EUR 139.8m (~$157m, ~6.6% of revenue); LTM cash conversion 85%.
- **Capital return running ahead of cash:** Q3 buybacks EUR 823.9m (~$923m) for 11.8m shares (~EUR 70/share) — 2.4x the quarter's adjusted EBITDA; since 19 May EUR 1,127.1m (~$1.26bn) for 16.93m shares (~8% of the count) under the EUR 2bn (~$2.24bn) programme; 16.17m shares cancelled in September leaving 183.06m in issue. EUR 873m (~$978m) remains, to run through Q4 and Q1-27 'at a somewhat lower pace… aligned with cash generation'.
- **Balance sheet:** cash EUR 656.4m (~$735m), no debt → net cash EUR 656.4m (~0.5x LTM adj. EBITDA, derived); EUR 300m (~$336m) undrawn RCF as back-up only; equity EUR 3.6bn (~$4.0bn), total assets EUR 5.0bn (~$5.6bn). Management reiterated it will stay net cash and debt-free 'as it saves money'.
- **Product & AI:** Monopoly Roll'em and Disco Balls launched (Live), three branded titles in the quarter; Game Night before year-end; Ice Fishing (RNG) for North America in Q4; 2027 roadmap 'spectacular' with the largest, most complex games yet. On AI dealers: 'a possibility… it's like an RNG live game, it's a complement. I don't think that it will take over live.'
- **Litigation:** CEO confirmed 'we are in a full lawsuit with them and that will continue' and declined to comment on settlement speculation [counterparty not confirmed in the sources read].
- **Market reaction and sell-side:** shares opened ~1.6% lower (SEK 798.8) on the revenue/EPS miss, then reversed to close +3.6% at SEK 841.40 (prev. SEK 812.00). Citi trimmed forecasts (TP unchanged); JP Morgan cut its TP to SEK 645; Pareto raised to SEK 820 (hold); BNP Paribas raised to SEK 890.
- **Thesis read-through:** this is a stabilisation print, not a re-acceleration. Ex-Americas/Africa, revenue is still shrinking (~-1.5%); profit for the period is down while EPS is up only via the share count; the 66% margin is defended by other-opex restraint while headcount grows 8%. Q4 — with Brazil out, Asia unresolved and a ~67% margin needed to hit the target exactly — is the real test of whether Q3 was a turn or a pause.

2 GROUP FINANCIAL SUMMARY

EUR M (~USD AT 1.12)	Q3-26	QOQ	YOY	9M-26	9M YOY
REVENUE BY PRODUCT					
Net revenues Q3-25 EUR 507.1m; Q2-26 EUR 517.8m. Constant-currency growth est. ~+4.0% (company estimate).	**526.1 (~$589m)**	**+1.6%**	**+3.7%**	**1,557.0 (~$1,744m)**	**+0.3%**
Live	443.0 (~$496m)	+1.3%	+2.6%	1,315.2 (~$1,473m)	-1.4%
RNG	83.1 (~$93m)	+3.2%	+10.1%	241.8 (~$271m)	+10.7%
RNG share of revenue	15.8%	+30bps	+90bps	15.5%	+140bps
REVENUE BY REGION (PLAYER IP)					
Asia	192.1 (~$215m)	+0.8%	+1.6%	n/a	n/a
Europe	173.7 (~$195m)	+0.4%	-4.7%	n/a	n/a
North America	84.3 (~$94m)	+4.1%	+13.6%	n/a	n/a
Latin America	49.0 (~$55m)	+3.2%	+23.1%	n/a	n/a
Africa & other Residual of group less four named regions (Q2-26 base EUR 25.8m); one secondary source prints EUR 27.1m.	~27.0 (~$30m)	~+4.7%	+23.7%	n/a	n/a
Regulated-market share of revenue	49% (258.5, ~$290m)	n/a	n/a	n/a	n/a
PROFITABILITY					
Adj. EBITDA Excludes EUR 12.1m one-offs (UKGC settlement EUR 5.6m; Galaxy Gaming termination/legal EUR 6.5m). Q2-26 EUR 341.0m; Q3-25 EUR 336.9m.	**345.9 (~$387m)**	**+1.4%**	**+2.7%**	**1,022.2 (~$1,145m)**	**-0.2%**
Adj. EBITDA margin	65.8%	-10bps	-60bps	65.7%	-30bps
One-off items (excl. from adj.)	12.1 (~$13.6m)	n/m	n/m	12.1 (~$13.6m)	n/m
EBITDA (reported)	333.8 (~$374m)	-2.1%	-0.9%	1,010.1 (~$1,131m)	-1.4%
EBITDA margin (reported)	63.5%	-240bps	-290bps	64.9%	-110bps
D&A (derived: EBITDA less EBIT)	43.5 (~$49m)	n/a	~+8%	n/a	n/a
Operating profit (EBIT)	290.3 (~$325m)	-2.5%	-2.1%	880.7 (~$986m)	-2.8%
Operating margin	55.2%	-230bps	-330bps	56.6%	-180bps
Profit for the period	**243.3 (~$273m)**	**-3.2%**	**-3.6%**	**746.7 (~$836m)**	**-1.1%**
EPS, basic (EUR)	1.31 (~$1.47)	+3.1%	+4.6%	3.85 (~$4.31)	+3.8%
EPS, diluted (EUR) Per call/Quartr; company release headlines basic EPS EUR 1.31 (1.25). Consensus ~EUR 1.33.	1.29 (~$1.44)	n/a	+2.4%	n/a	n/a
Avg. shares outstanding (m) Q3-25 201.8m. 16.17m shares cancelled Sept-26; 183.06m in issue at 30 Sep.	186.0	n/a	-7.8%	n/a	n/a
OPERATING KPIS					
Headcount (period end)	23,408	+2.3%	+8.1%	—	—
Game rounds index	435	+11.3%	+22.5%	—	—
Studios	27	+1	n/a	—	—
Mobile share of operator GGR	77.0%	n/a	+300bps	—	—
CASH FLOW & BALANCE SHEET					
Operating cash flow after investments Includes EUR 32.5m working-capital inflow. LTM cash conversion 85%.	334.1 (~$374m)	n/a	n/a	n/a	n/a
Capex (intangible + tangible)	32.0 (~$36m)	n/a	n/a	LTM 139.8 (~$157m)	~6.6% of LTM rev
Share buybacks 11.8m shares in Q3; 16,925,584 shares programme-to-date under EUR 2bn (~$2.24bn) programme; EUR 873m (~$978m) remaining.	823.9 (~$923m)	n/a	n/a	1,127.1 (~$1,262m) since 19 May	—
Cash & cash equivalents	656.4 (~$735m)	n/a	n/a	—	—
Gross debt	0 (EUR 300m RCF undrawn)	—	—	—	—
Net cash / (debt) ≈0.5x LTM adj. EBITDA net cash (derived, LTM adj. EBITDA ~EUR 1.36bn).	**656.4 (~$735m) net cash**	**n/a**	**n/a**	**—**	**—**
Equity / total assets	3.6bn (~$4.0bn) / 5.0bn (~$5.6bn)	—	—	—	—

3 SEGMENT DEEP-DIVE — LIVE CASINO

> **Back to +2.6% growth after four quarters of decline, but it is an Americas/Africa story — Europe is ceding share, Asia is flat, and Brazil goes dark in Q4.**

RETURN TO GROWTH

Live returned to growth after four quarters of decline, net revenues up 2.6% to EUR 443.0m (~$496m), but the band has barely moved.

- Up 1.3% sequentially, against a -3.6% print in Q2; nine-month run-rate still 1.4% lower at EUR 1,315.2m (~$1,473m).
- Live is 84.2% of group revenue, down 90bps year on year as RNG outgrows it.
- Five-quarter series EUR 431.7m, 438.6m, 434.9m, 437.3m, 443.0m (~$484m-$496m): oscillating in a EUR 430-445m band for over a year, only now edging above it.
- No segment EBITDA disclosed; group adjusted margin of 65.8% (-60bps YoY) is the only read-across and effectively the Live margin.

> *"uneventful"* — **Management**

AMERICAS AND AFRICA

Live's recovery is an Americas-and-Africa story, with North America, Latin America and Africa all at records.

- North America +13.6% to record EUR 84.3m (~$94m), +4.1% QoQ, helped by second Michigan studio and Monopoly Live roll-out; New Jersey studio next in pipeline.
- Latin America +23.1% to record EUR 49.0m (~$55m), with Argentine studio acquired in Q1 for EUR 6.0m (~$6.7m) adding capacity.
- Africa & other +23.7% to roughly EUR 27.0m (~$30m); CEO cautioned the region is small and volatile.

> *"hardcore focused business as usual"* — **CEO**

EUROPE

Europe fell 4.7% to EUR 173.7m (~$195m), with the CEO effectively acknowledging market-share loss in the most mature, regulated region.

- +0.4% QoQ after +3.5% QoQ in Q2.
- Management pointed to regulatory change and tax as external drags.
- Second Lithuanian studio opened in the quarter; native-language tables remain the tactical response.

> *"it's not exciting and we should do better"* — **CEO**

ASIA

Asia, largest region by IP at EUR 192.1m (~$215m), grew just 1.6% YoY and 0.8% QoQ as cyber-crime remains unresolved.

- Management explicit that the cyber-crime problem affecting video distribution and unauthorised product use is 'not solved'.

> *"no quick solution"* — **Management**

PRODUCT AND CAPACITY

Headcount grew 8.1% YoY to 23,408, more than double revenue growth, so Live unit economics rely on restraint elsewhere, not operating leverage.

- Launched Monopoly Roll'em and Disco Balls among three new branded titles; 2026 releases to exceed 110 games; Game Night due before year-end.
- 2027 roadmap described as 'spectacular', containing some of the largest and most complex games ever built.
- Studio count rose to 27 with one opening in the quarter (third this year); headcount +2.3% QoQ; other opex ex one-offs +0.7% YoY.
- Game rounds index jumped to 435 (+22.5% YoY, +11.3% QoQ) while revenue grew 3.7%; management says correlation holds only 'over a very long time period'.
- We read the gap as mix shift toward lower-value rounds, likely from weakly monetised markets or unauthorised use.

BRAZIL

Provisional Measure 1.394/2026 suspended licensed online betting; São Paulo studio closed 5 October, capping exposure below EUR 24.5m (~$27m) quarterly.

- Brazil is 'well below half' of Latin American IP revenue, below 4.7% of group.
- Market is not ring-fenced so some play may migrate to operators licensed elsewhere; CEO rejected Rothschild Redburn's suggestion closure could be net positive.
- CEO called it a 'populist' overthrow of an 18-month-old framework; studio can reopen 'on short notice' if STF or Congress overturns the measure.
- Staff supported rather than released, so Brazilian cost persists into Q4 without Brazilian revenue.

> *"total negative"* — **CEO**

OUTLOOK

Structural growth rate has reset to low single digits; guidance to grow at least in line with the market in every region is not being met in Europe.

- The ~30% of revenue in the Americas and Africa grew ~18%.
- The ~70% in Europe and Asia shrank roughly 1.5%.

LIVE CASINO, EUR M (~USD AT 1.12)	Q3-26	QOQ	YOY	9M-26	9M YOY
Live net revenues Comparatives: Q2-26 EUR 437.3m; Q3-25 EUR 431.7m; 9M-25 EUR 1,334.0m. Quarterly series Q3-25→Q3-26: 431.7 / 438.6 / 434.9 / 437.3 / 443.0.	**443.0 (~$496m)**	**+1.3%**	**+2.6%**	**1,315.2 (~$1,473m)**	**-1.4%**
Live YoY growth trend	+2.6%	vs Q2-26 -3.6%	vs Q1-26 -3.1%	—	—
Share of group net revenue	84.2%	-30bps	-90bps	84.5%	-140bps
Segment EBITDA / margin Group adj. EBITDA margin 65.8% is the only read-across.	not disclosed	—	—	not disclosed	—
REGIONAL DRIVERS (PLAYER IP, GROUP)					
Europe	173.7 (~$195m)	+0.4%	-4.7%	n/a	n/a
Asia	192.1 (~$215m)	+0.8%	+1.6%	n/a	n/a
North America	84.3 (~$94m)	+4.1%	+13.6%	n/a	n/a
Latin America	49.0 (~$55m)	+3.2%	+23.1%	n/a	n/a
Africa & other	~27.0 (~$30m)	~+4.7%	+23.7%	n/a	n/a
CAPACITY & ACTIVITY					
Studios (group)	27	+1 (2nd Lithuania)	n/a	3 opened YTD	—
Headcount (group)	23,408	+2.3%	+8.1%	—	—
Game rounds index (group)	435	+11.3%	+22.5%	—	—
New Live titles in quarter	Monopoly Roll'em, Disco Balls	—	—	110+ releases targeted FY26	—
Brazil exposure (gross, derived) 'Well below half' of LatAm IP revenue of EUR 49.0m. Studio closed 5 Oct 2026.	<24.5 (~$27m)/qtr	—	—	<4.7% of group	—

4 SEGMENT DEEP-DIVE — RNG

Second consecutive double-digit quarter (+10.1%) — RNG supplied 40% of group revenue growth from <16% of the base; North American localisation is the strategy.

GROWTH ENGINE

RNG revenues rose 10.1% to EUR 83.1m (~$93m), the second consecutive double-digit quarter after years of flat-to-down.

- Up 3.2% sequentially, following +14.0% in Q2, the first double-digit quarter in roughly three years.
- Nine-month RNG revenue up 10.7% to EUR 241.8m (~$271m); series EUR 75.5m, 75.7m, 78.2m, 80.5m, 83.1m shows steady ~3% sequential compounding.
- Share of group revenue 15.8%, up from 14.9% a year ago and 15.5% in Q2; 2026 YoY path roughly +8% (Q1), +14.0% (Q2), +10.1% (Q3).

CONTRIBUTION AND STRATEGY

RNG added EUR 7.6m (~$8.5m) of the group's EUR 19.0m (~$21m) YoY increase, 40% of growth from under 16% of the base.

- Without RNG the group would have grown ~2.3%.
- Management credits North America's outperformance partly to 'particularly strong RNG performance'; localised North American RNG content planned, Ice Fishing slated for Q4 launch.
- Monopoly-branded content under the Hasbro licence anchors the branded pipeline.
- No RNG-specific KPIs (active titles, aggregation vs proprietary, game rounds, regional revenue) or segment margin disclosed.

AI POSITIONING

Management frames AI dealers as a complement sitting alongside RNG rather than a substitute for Live studios.

- CEO does not believe AI dealers 'will take over live as some people ask'; group is 'working hard' with AI across functions for efficiency.
- Third-party AI-dealer products remove the studio capex barrier underpinning Evolution's Live moat and shorten rivals' time to market in regulated US states.

> *"is a possibility… it's like an RNG live game, it's a complement"* — CEO

OUR JUDGMENT

RNG is a genuine if modest positive, accretive after three years of drag, but EUR 83m a quarter cannot carry a EUR 2.1bn group.

- Base still small enough that ~10% growth is credible for several more quarters; North American localisation aligns with fastest-growing regulated region.
- Comparison base stays soft through Q1-27 (Q4-25 RNG was EUR 75.7m, ~$85m), so double-digit rate is partly base effect.
- Segment guidance is to grow at least in line with the market in each region.

RNG, EUR M (~USD AT 1.12)	Q3-26	QOQ	YOY	9M-26	9M YOY
RNG net revenues Comparatives: Q2-26 EUR 80.5m; Q3-25 EUR 75.5m; 9M-25 EUR 218.3m. Series Q3-25→Q3-26: 75.5 / 75.7 / 78.2 / 80.5 / 83.1.	**83.1 (~$93m)**	**+3.2%**	**+10.1%**	**241.8 (~$271m)**	**+10.7%**
RNG YoY growth trend Q1-26 growth derived from 9M-25 less Q2-25/Q3-25 (Q1-25 ≈ EUR 72.2m).	+10.1%	vs Q2-26 +14.0%	vs Q1-26 ~+8%	—	—
Share of group net revenue	15.8%	+30bps	+90bps	15.5%	+140bps
Contribution to group YoY revenue growth	7.6 of 19.0 (40%)	—	—	23.4 of 4.6 (RNG offset Live -18.8)	—
Segment EBITDA / margin	not disclosed	—	—	not disclosed	—
PIPELINE					
Branded / localised titles	Monopoly (Hasbro) range; NA localisation programme	—	—	Ice Fishing (NA) planned Q4-26	—
AI dealer positioning	'a complement… like an RNG live game'	—	—	no launch date	—

5 SEGMENT DEEP-DIVE — REGIONAL MIX & REGULATORY EXPOSURE (GROUP)

Asia is 37% of revenue by player IP but 4% by operator location — the grey-market gap is unchanged; Europe is losing share; Brazil removes a growth engine from Q4.

TWO REVENUE VIEWS

Asia is 37% of revenue by player IP but 4% by operator location; ~EUR 173m (~$194m) is effectively grey-market exposure.

- By operator location: Europe 64% (EUR 336.3m, -6.0%), North America 15% (EUR 81.0m, +11.0%), Latin America 15% (EUR 76.6m, +39.3%), Asia 4% (EUR 19.1m, +42.5%), Africa & other 2% (EUR 13.1m, +61.7%).
- By player IP: Asia 37% (EUR 192.1m), Europe 33% (EUR 173.7m), North America 16% (EUR 84.3m), Latin America 9% (EUR 49.0m), Africa & other 5% (~EUR 27.0m).
- Regulated markets were 49% of revenue (EUR 258.5m, ~$290m); mobile 77.0% of operator GGR, up from 74.0%.

ASIA

Asia grew only 1.6% YoY and 0.8% QoQ to EUR 192.1m after -8.9% YoY / -3.7% QoQ in Q2; stabilisation is real but shallow.

- Asked whether cyber-crime issues were solved, the CEO answered 'No'; company taking 'long-term steps' against video piracy and unauthorised redistribution.
- Interim report no longer mentions the issue; it has become a running condition rather than a disclosed event.
- Every 5% of Asian volatility is roughly 1.8 points of group growth, more than the entire Q3 YoY growth rate; game-rounds/revenue divergence (+22.5% vs +3.7%) most plausibly sits here.

> *"no quick solution"* — CEO

EUROPE

Europe is the structural worry: IP revenue -4.7% to EUR 173.7m, operator-location revenue -6.0% to EUR 336.3m, with share not being captured.

- +0.4% QoQ after +3.5% QoQ in Q2; European IP revenue has declined from above EUR 200m (~$224m) per quarter in late 2024.
- Management blamed regulatory change and tax but accepted it is not capturing its share of market growth; fix framed as 'a few stable quarters' of relationship work.

AMERICAS AND AFRICA

North America delivered another record at EUR 84.3m (+13.6% YoY, +4.1% QoQ) and remains the cleanest regulated growth story.

- New Jersey studio is next.
- Latin America (+23.1%) and Africa & other (+23.7%) both records; CEO stressed Latin America's Q3 growth 'didn't include any effects' from Brazil.

BRAZIL OVERHANG

São Paulo studio closed 5 October under PM 1.394/2026; Q4 impact unquantified beyond Brazil being under EUR 24.5m (~$27m) quarterly, <4.7% of group.

- Lula won the 25 October run-off with 51.76% having campaigned on the ban; resolution rests with the STF (constitutionality) and Congress (conversion).
- Brazil is 'well below half' of LatAm IP revenue; market not ring-fenced; local staff retained for now.
- Brazilian cost without revenue is a drag of perhaps 20-30bps on margin, which management says is absorbed within the unchanged ~66% FY target.

OUR VIEW

Regional picture supports stability rather than re-acceleration, and the grey-market risk premium is not going away with Asia at 37%.

- Americas and Africa (30% of IP revenue) grew ~18%; Europe and Asia (70%) shrank ~1.5%.
- Mix is drifting slowly toward regulated, lower-volatility revenue.
- Brazil has just demonstrated that regulated revenue is not risk-free either.

GROUP REVENUE BY GEOGRAPHY, EUR M (~USD AT 1.12)	Q3-26	QOQ	YOY	9M-26	9M YOY
BY PLAYER IP ADDRESS					
Asia (37%) Q2-26 EUR 190.5m (-8.9% YoY, -3.7% QoQ). Q3-25 ≈ EUR 189.1m (derived).	192.1 (~$215m)	+0.8%	+1.6%	n/a	n/a
Europe (33%) Q2-26 EUR 173.0m (-4.0% YoY, +3.5% QoQ). Q3-25 ≈ EUR 182.3m (derived).	173.7 (~$195m)	+0.4%	-4.7%	n/a	n/a
North America (16%) Q2-26 EUR 81.0m (+9.5% YoY). Record quarter.	84.3 (~$94m)	+4.1%	+13.6%	n/a	n/a
Latin America (9%) Q2-26 EUR 47.5m (+26.3% YoY). Record; pre-Brazil ban.	49.0 (~$55m)	+3.2%	+23.1%	n/a	n/a
Africa & other (5%) Residual; Q2-26 base EUR 25.8m (residual).	~27.0 (~$30m)	~+4.7%	+23.7%	n/a	n/a
BY CUSTOMER (OPERATOR) LOCATION					
Europe (64%) Q3-25 EUR 357.6m.	336.3 (~$377m)	n/a	-6.0%	n/a	n/a
North America (15%) Q3-25 EUR 73.0m.	81.0 (~$91m)	n/a	+11.0%	n/a	n/a
Latin America (15%) Q3-25 EUR 55.0m.	76.6 (~$86m)	n/a	+39.3%	n/a	n/a
Asia (4%) Q3-25 EUR 13.4m.	19.1 (~$21m)	n/a	+42.5%	n/a	n/a
Africa & other (2%) Q3-25 EUR 8.1m.	13.1 (~$15m)	n/a	+61.7%	n/a	n/a
EXPOSURE METRICS					
Regulated-market revenue share	49% (258.5, ~$290m)	n/a	n/a	n/a	n/a
Asia IP less Asia operator location (grey-market proxy)	~173 (~$194m)	—	—	—	—
Brazil gross exposure (derived)	<24.5 (~$27m)	—	—	<4.7% of group	—
Mobile share of operator GGR	77.0%	n/a	+300bps	—	—

6 HIGHLIGHTS & LOWLIGHTS

▲ HIGHLIGHTS

- **Return to growth:** net revenue +3.7% YoY to EUR 526.1m (~$589m), est. +4.0% at constant currency, after four consecutive declines; all five regions grew QoQ for the first time since 2024. early
- **RNG now accretive:** +10.1% to EUR 83.1m (~$93m), second straight double-digit quarter (Q2 +14.0%), 9M +10.7%; supplied 40% of group YoY growth from <16% of the base. structural
- **Americas & Africa records:** North America +13.6% to EUR 84.3m (~$94m), LatAm +23.1% to EUR 49.0m (~$55m), Africa & other +23.7% to ~EUR 27.0m (~$30m) — ~30% of IP revenue growing ~18%. structural
- **Margin defended:** adj. EBITDA margin 65.8% (-60bps YoY, -10bps QoQ); FY ~66% target reiterated despite Brazil; other opex ex one-offs +0.7% YoY. structural
- **Cash machine intact:** OCF after investments EUR 334.1m (~$374m), LTM cash conversion 85%, cash EUR 656.4m (~$735m), zero debt, EUR 300m (~$336m) RCF undrawn. structural
- **Two overhangs closed:** UKGC licence review settled for GBP 4.75m (EUR 5.6m, ~$6.3m) and the $85m Galaxy Gaming deal terminated for a $5.2m fee — both paid, both excluded from adj. EBITDA; total EUR 12.1m (~$13.6m). one-off
- **Per-share accretion:** 16.9m shares (~8% of the count) repurchased for EUR 1,127.1m (~$1.26bn) since 19 May; basic EPS +4.6% to EUR 1.31 (~$1.47) despite profit for the period -3.6%. mixed

▼ LOWLIGHTS

- **Europe losing share:** -4.7% YoY by IP to EUR 173.7m (~$195m), -6.0% by operator location to EUR 336.3m (~$377m); CEO: 'not exciting and we should do better', with no concrete remedy beyond 'a few stable quarters'. structural
- **Asia stalled, cyber-crime unresolved:** +1.6% YoY / +0.8% QoQ at EUR 192.1m (~$215m); 37% of revenue by IP vs 4% by operator location — grey-market exposure undiminished; regulated share only 49%. structural
- **Brazil ban:** São Paulo studio closed 5 Oct under PM 1.394/2026; Lula re-elected 25 Oct; up to ~EUR 24.5m (~$27m) of quarterly revenue at risk with the local cost base retained — Q4 will be 'more eventful'. one-off
- **Reported earnings down:** EBITDA -0.9% to EUR 333.8m (~$374m), margin -290bps to 63.5%; EBIT -2.1% to EUR 290.3m (~$325m); profit for the period -3.6% to EUR 243.3m (~$273m); reported opex +12% to EUR 235.9m (~$264m). mixed
- **Slight miss, again:** revenue EUR 526.1m vs ~EUR 529m consensus; diluted EPS EUR 1.29 (~$1.44) vs ~1.33 — fifth consecutive quarter of revenue at or below the Street. watch
- **Activity ≠ revenue, costs ≠ revenue:** game rounds index +22.5% YoY vs revenue +3.7%; headcount +8.1% and personnel costs +5.7% (EUR 124.3m, ~$139m) vs revenue +3.7% — negative operating leverage masked by 'adjusted' and other-opex restraint. structural
- **Buyback outrunning cash:** Q3 repurchases EUR 823.9m (~$923m) vs OCF EUR 334.1m (~$374m) — 2.4x the quarter's adj. EBITDA; cash down to EUR 656.4m; pace now being slowed to 'align with cash generation' with EUR 873m (~$978m) still to deploy. governance

7 FORECAST & OUTLOOK

Guidance bridge. There was no guidance change. Evolution's only numeric target is the FY2026 EBITDA margin, which stays 'in line with 2025' — i.e. ~66% against an FY25 adjusted margin of 66.1% — and it was reiterated on the call despite the 5 October Brazil closure. There is no revenue guidance; the qualitative ambition is to grow at least in line with the market in each region for both Live and RNG, and to ship 110+ games in 2026. 9M-26 adjusted margin is 65.7%, so Q4 must print ~66.5-67% for the full year to round to 66.0%. The moving parts: RNG (+10.1%) and the Americas/Africa (~+18%) pulling growth up; Europe (-4.7%) and Asia (+1.6%) pulling it down; EUR 12.1m (~$13.6m) of Q3 one-offs now behind; and Brazil removing up to ~EUR 24.5m (~$27m) of quarterly revenue from Q4 while its studio cost persists.

FY26 ADJ. EBITDA MARGIN TARGET	Q4 REVENUE SWING: BRAZIL	Q3 ONE-OFFS (NOT RECURRING)	REMAINING BUYBACK
~66% (unchanged; FY25 66.1%)	**up to -EUR 24.5m (~$27m)/qtr**	**EUR 12.1m (~$13.6m)**	**EUR 873m (~$978m)**
9M-26 at 65.7% → Q4 needs ~66.5-67% to land on 66.0%	<4.7% of group; partly offset by offshore leakage and Americas/Africa growth	UKGC EUR 5.6m + Galaxy EUR 6.5m; none flagged for Q4	Pace slowing to ~match EUR 330m (~$370m)/qtr cash generation; runs into Q1-27+

Independent view. Our estimates (not company guidance): **Q4-26E net revenue EUR 520-535m (~$582-599m), midpoint ~EUR 527m (~$590m), +2.5% YoY and flat QoQ**, assuming normal Q4 seasonality (+1-2% QoQ) is offset by a EUR 10-20m (~$11-22m) Brazil hole net of leakage to offshore-licensed operators; Live ~EUR 441m (~$494m), RNG ~EUR 86m (~$96m). **Q4-26E adjusted EBITDA margin 66.0-66.5%** (Brazilian cost without revenue costs ~20-30bps; no one-offs assumed), giving **FY26E revenue ~EUR 2.08bn (~$2.33bn), +0.7% YoY, and FY26E adjusted EBITDA ~EUR 1.37bn (~$1.53bn) at ~65.8-65.9%** — a hair below the 66.1% FY25 print but inside management's 'in line' framing; landing exactly on 66.0% requires a ~67% Q4, which we would not underwrite. **Leverage stays negative (net cash), but the pile shrinks:** with OCF after investments of ~EUR 330m (~$370m) a quarter and EUR 873m (~$978m) of programme left to run through Q4 and Q1-27, a straight-line pace of ~EUR 435m (~$487m) a quarter would take cash from EUR 656m toward ~EUR 450m (~$504m) by Q1-27 — hence the explicit slowing; we expect completion to slip into Q2-27 rather than draw the RCF. EPS continues to be flattered by ~8% share-count shrinkage, so look through it to profit for the period, which we model roughly flat YoY in Q4 (~EUR 250m, ~$280m) absent one-offs. For 2027 the swing factors are binary rather than incremental: a Brazil reopening (studio 'ready to accelerate'), a durable fix for Asian video piracy, and whether Europe can stop ceding share; absent those, this is a low-single-digit organic-growth business defending a mid-60s margin against ~8% headcount growth, and the equity's grey-market risk premium persists.

What to watch next quarter:

- Brazil: STF ruling on PM 1.394/2026 and the Congress vote; any São Paulo reopening timeline; Q4 LatAm IP revenue vs the EUR 49.0m (~$55m) Q3 base.
- Asia by IP (EUR 192.1m, ~$215m) alongside the game-rounds index: a sequential Asian decline with rounds still rising would confirm the piracy/low-monetisation read.
- Europe by IP vs EUR 173.7m (~$195m): management needs 'a few stable quarters'; a third consecutive sub-1% QoQ would make the share-loss narrative structural.
- Q4 adjusted EBITDA margin — needs ≥~66.5% for FY to round to 66%; watch personnel cost (EUR 124.3m, +5.7%) vs revenue and any Brazil restructuring charge.
- Buyback cadence vs cash via the weekly MFN disclosures; cash below ~EUR 500m (~$560m) or any RCF draw would contradict the 'no debt' stance.
- Product cadence: Game Night before year-end, Ice Fishing (NA) in Q4, the 110+ release count, New Jersey studio timing, and any AI-dealer product announcement.
- Litigation: outcome or settlement of the ongoing lawsuit the CEO referenced; UKGC remediation follow-through after the GBP 4.75m settlement.

DATA CONFIDENCE: MEDIUM FX: EUR/USD 1.12 as of 23 Oct 2026 (FRED 1.1199; ECB reference 1.1193). Headline P&L (revenue, Live/RNG, adj./reported EBITDA, EBIT, profit, EPS), cash, buyback and regional figures were cross-checked between the company press release, the interim-report PDF (MFN) and at least two secondary sources; these are HIGH confidence. Direct full-document fetch was unavailable in this session, so some granular items are unverified/n/a: 9M regional splits; Q2-26 customer-location split (QoQ on that basis is n/a); financial net and tax lines; SEK/USD for the share price; and the basis of management's '+2.8% opex growth ex one-offs' (our arithmetic on revenue less EBIT gives ~+6% ex one-offs incl. D&A — flagged as a discrepancy). Africa & other by IP (~EUR 27.0m) is a residual; one source prints EUR 27.1m. Q3-25 regional IP comparatives are derived from stated growth rates. Evolution does not disclose segment-level EBITDA. The litigation counterparty referenced on the call was not confirmed in sources read.

Sources: [Primary] Evolution AB — Interim report January–September 2026 (press release, 23 Oct 2026); [Primary] Evolution AB — Interim report Q3 2026, full PDF (MFN); [Primary] Evolution AB — Interim report January–June 2026, full PDF (MFN) — Q2 comparatives; [Primary] Evolution AB — Interim report January–June 2026 (press release); [Primary] Evolution AB — Board resolves on EUR 2bn share buyback programme and EUR 300m RCF (18 May 2026); [Primary] Q3 2026 earnings call transcript (Investing.com); [Primary] Q3 2026 earnings call transcript (GuruFocus); [Secondary] Investing.com — Evolution Q3 2026 slides summary (regional, headcount, game rounds, cash); [Secondary] iGaming Future — Evolution Q3 2026 Results: Revenues up 3.7%; [Secondary] Gaming Intelligence — Evolution returns to revenue growth in third quarter of 2026; [Secondary] NEXT.io — Evolution says AI live dealer launch 'possibility' but only as complement; [Secondary] European Gaming — Evolution Q3 2026: revenue back to growth, profit dips (one-offs, share count, intraday price); [Secondary] iGaming Business — Evolution CEO 'flabbergasted' by Brazil betting ban; [Secondary] NEXT.io — Q3 2026: Evolution sees revenue rise 3.7% as RNG reports 10% growth (customer-location split); [Secondary] NEXT.io — Evolution shutters Brazil studio, criticises 'populist' gambling ban; [Secondary] Gaming.net — Evolution Q3 revenue rises 3.7% as Brazilian studio closes (regulated share, mobile share, Galaxy/UKGC detail); [Secondary] iGaming Express — Evolution Q3 2026: Revenue Returns, Profit Slips (buyback detail, share cancellation); [Secondary] Yahoo Finance / GuruFocus — Q3 2026 earnings call highlights (Q&A on Brazil, Asia, AI, buyback); [Secondary] Quartr — Evolution Q3 2026 earnings summary (guidance, opex ex one-offs, product pipeline); [Secondary] Investing.com — Evolution shares fall on third-quarter revenue miss (consensus, opening move); [Secondary] MarketScreener — Evolution AB quote (23 Oct 2026 close SEK 841.40, +3.62%); [Secondary] Swedbank Aktiellt — Evolution news feed (FactSet EBITDA consensus EUR 343m; analyst TP changes); [Secondary] Casino.org — Evolution Q3 revenue rises 3.7% as CEO slams Brazil gambling ban; [Secondary] FRED — U.S. Dollars to Euro spot rate (DEXUSEU), 23 Oct 2026 = 1.1199.

Research analysis only — not a rating, price target, or personalised investment advice. Prepared for internal executive review.